

Table 35.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Measure the rise leading to the flag and project half of it upward, using the flag low price. The bottom portion of the table shows how often the measure rule works.
Flagpole top	Wait for price to close above the top of the pattern (often the flagpole).
Stop location	Below the bottom of the flag works well. See Table 35.7 .

Description	Bull Market	Bear Market
Percentage reaching half height target	82%	78%
Percentage reaching full height target	44%	29%
Percentage reaching 2× height	12%	6%
Percentage reaching 3× height	5%	1%

Performance over time. This shows how pattern performance has deteriorated over time. It performed much better in the 1990s than it did in the 2010s.

Failures over time. Failure rates were constant for 2 decades but rose by 50% (from 14% to 21%) in the 2010s.

I did not include **Table 35.9** because the pattern is too tall to bust (too few samples).

Trading Tactics

[Table 35.10](#) shows trading tactics.

Measure rule, targets. Use the measure rule to predict a target price. To calculate the price target, find where the trend starts (the bottom of the flagpole) and measure the price change from the low at the start to the highest high in the pattern, often the top of the flagpole. Divide the result in half and add it to the flag's low price. The result is the target.